

RETIREMENT BENEFITS

The School Board will provide retiree health insurance and other benefits to eligible retirees, and their eligible dependents, to the extent funds are budgeted and appropriated for such purpose. These benefits are distinct from those provided by the Virginia Retirement System.

A. Qualifications for Benefits. To be considered eligible for Loudoun County Public Schools (hereinafter "LCPS") retirement benefits, employees must be eligible for retirement with the Virginia Retirement System (hereinafter "VRS") and must draw their VRS retirement benefit immediately upon separation from LCPS. If VRS retirement is deferred, LCPS retirement benefits do not apply. Eligibility for retirement benefits for eligible retirees from LCPS shall be based upon the most recent hire date. Active employees who have been charged with a crime prior to their retirement from LCPS may apply for retirement. Any benefits for which they may be eligible will be held in escrow until resolution of those criminal charges. If criminally convicted, the retiree may not be eligible to otherwise receive their retirement benefits. If acquitted or in the event the charges are otherwise disposed of, retirement benefits may be reviewed on a case by case basis to determine if eligible as of the date of retirement reflected on the retirement forms submitted to LCPS.

B. Health Insurance.

1. Employees hired into a full-time position prior to July 1, 2013, are eligible for retiree medical, dental, vision, and prescription insurance so long as they have fifteen (15) cumulative years of full-time service with LCPS. For employees who are re-hired after a break in service, the employee hire date will be the most recent date they are re-hired into a full-time position, and such employees will not receive retirement benefits for the years employed prior to their break in service. Employees hired into a full-time position after July 1, 2013 are not eligible for retiree health insurance.

2. In addition to satisfying the LCPS years of service requirement, any employee who is eligible and who wishes to subscribe to retiree health insurance must be enrolled in at least the medical/prescription insurance plan for a minimum of 3 years immediately preceding their retirement date with LCPS. Enrollment in only a dental and/or vision insurance plan does not satisfy this requirement.

3. Any dependent that an employee wishes to insure under their retiree health insurance plan must have been enrolled as a dependent on their active employee health insurance plan for a minimum of 3 years immediately preceding their retirement date with LCPS.

4. An approved long-term leave without pay will not be considered a break in service, and LCPS service will be earned for such an approved leave period.

5. LCPS service is earned only while the employee remains in a full-time service status, although a status change from full-time to part-time will not be considered a break in service.

RETIREMENT BENEFITS

6. Upon retirement, a retiree and their qualifying dependent(s) who are not Medicare-eligible will be enrolled for the remainder of the calendar year, as a retiree, in the same plan they elected as an active employee (unless the specific plan is not available to retirees). Opportunities to change between plans are available each year during Open Enrollment until the retiree becomes eligible for Medicare. When a covered individual reaches Medicare eligibility, they will be required to provide documentation within 90 days showing their enrollment in Medicare. Medicare covered retirees and/or their spouse will be enrolled in a Medicare Advantage plan.

7. The level of coverage that an employee has elected at the time of retirement may not be increased after retirement. For example, if employee-only coverage is elected at retirement, the coverage level may not be changed to family or employee/spouse at a later date. If, however, family coverage was elected at retirement, any change resulting in a decrease to the level of coverage may be made by completing the LCPS Retiree Health Insurance Enrollment/Change Form and submitting it to the Employee Benefits Division.

8. For employees who retired prior to July 1, 2014, contributions made by the School Board will be based on the consecutive years of full-time service with LCPS. For those who retire on or after July 1, 2014, contributions made by the School Board will be based on a flat rate determined by the School Board, currently equal to the School Board contribution to the OAP/Employee-Only coverage, with contributions capped at 150% of the 2014 contribution.

9. If an employee and spouse both work for LCPS and have a shared health insurance policy, years of service for each shall be reviewed when the first one of the couple decides to retire for the purpose of determining, on an individual basis, if they should continue on an active LCPS health insurance policy or enroll in retiree health insurance.

- a. Eligibility for retiree healthcare and subsidy is based on each employee's date and circumstance of retirement and not based on any joint benefit previously provided as married employees within LCPS.
- b. Upon the death of an LCPS retiree, covered dependent(s) will be offered COBRA, as will spouses who are former LCPS employees not eligible for retirement benefits.

10. Retirees/qualifying dependents who are eligible for Medicare Parts A & B plans must enroll in both Medicare Parts A & B plans within 90 days of becoming eligible in order to retain coverage under the LCPS plan. Coverage on the Medicare supplement plan will be effective the first of the month following the Medicare Part A & B effective date and submission of a copy of the Medicare card to Employee Benefits, whichever is later.

11. Retirees who elect to return to full-time employment will be insured through the active employee health insurance plan and will not automatically resume eligibility for retiree healthcare. In order to elect retiree healthcare when they re-retire, they will be required to meet the eligibility requirements in place at the time of re-retirement. Retirees

RETIREMENT BENEFITS

who are re-hired into a Virginia Department of Education ("VDOE")-designated Critical Shortage position and meet the requirements of VRS to maintain their pension may also maintain their LCPS retiree health insurance at the rate and coverage at the time of re-hire.

C. Health Insurance – Disability Retirement.

1. Employees hired or re-hired prior to July 1, 2013, who are approved for disability retirement, are not subject to a service requirement to be eligible for retiree health insurance, as long as they were enrolled in LCPS health insurance on their last day of active employment and submitted an application for disability retirement within 90 days of their date of separation. If approved for disability retirement, the School Board will contribute an amount equal to the service retirement contributions. An employee hired or re-hired after July 1, 2013, who is approved for disability retirement is not eligible for retiree health insurance and may elect to enroll in COBRA.

2. Employees hired into a full-time position prior to July 1, 2013, who have submitted an application for disability retirement to VRS within 90 days of their separation date will continue to receive normal School Board support for their medical, dental, vision, and prescription insurance coverage during the initial disability retirement application process and, if necessary, through a first appeal of the eligibility decision.

3. In the event an initial application and first appeal is denied, retiree health insurance for employees who do not qualify for service retirement will be terminated at that time and they will be offered the opportunity to continue coverage under COBRA. Should their disability application be approved in the future, they may apply for retiree health insurance within 14 days of the approval. The retiree health insurance coverage will resume the first of the month following the approval, so long as the original application for disability retirement was submitted within 90 days of their date of separation from LCPS.

4. An application for disability retirement must be submitted to VRS while the applicant is still an LCPS employee or within 90 days of separation from LCPS employment in order for the retiree to be eligible to continue health insurance coverage under disability retirement provisions. Employees who resign or retire and apply for disability retirement more than 90 days following their last day of employment are not eligible for retiree health insurance coverage unless they are already enrolled as a service retirement.

D. Salary Supplement.

1. Any retiree with 10 cumulative years of full-time service to LCPS will receive a one-time salary supplement payment equal to 0.5% of the final annual salary multiplied by the number of years of service to LCPS. The amount shall not exceed \$2,500 nor be less than \$500.

2. Effective July 1, 2022, when an active employee dies prior to retirement but has met the eligibility rules for this benefit, including being recognized by VRS as eligible to receive a VRS retirement benefit, subject to applicable law, LCPS will make a final payout of the employee's salary supplement using the procedures implemented by LCPS Payroll

RETIREMENT BENEFITS

that apply to payment(s) after death. Pursuant to Subtitles I and II in Title 64.2 of the Virginia Code, LCPS will distribute this payout as follows:

- a. In the event the employee has designated a beneficiary/ies and the beneficiary/ies survives the employee, to the beneficiary/ies.
- b. In the event the employee has not designated a beneficiary/ies or the beneficiary has died before the employee –
 - i. as set out in the beneficiary's will, provided that the will meets the requirements of Virginia Code sections 64.2-400 - 64.2-458, as applicable.
 - ii. in accordance with Virginia Code sections 64.2-200 – 64.2-206, if the employee died without a valid will.

3. Any person receiving a salary supplement may not use service earned prior to receiving the supplement to re-qualify for a second supplement if they are re-hired as an active employee.

E. Sick Leave Payout.

1. Any retiree with 10 cumulative years of full-time service will receive 25% of their final daily wage for each day of unused sick leave, the total amount not to exceed an index of 25% of the previous year's average teacher salary for LCPS as reported in the State of Virginia's Annual School Report (effective July 1, 2001).

2. Effective July 1, 2022, when an active employee dies prior to retirement but has met the eligibility rules for of this benefit, including being recognized by VRS as eligible to receive a VRS retirement benefit, subject to applicable law, LCPS will make a final payout of the employee's sick leave payout using the procedures implemented by LCPS Payroll that apply to payment(s) after death. Pursuant to Subtitles I and II in Title 64.2 of the Virginia Code, LCPS will distribute this payout as follows:

- a. In the event the employee has designated a beneficiary/ies and the beneficiary/ies survives the employee, to the beneficiary/ies.
- b. In the event the employee has not designated a beneficiary/ies or the beneficiary has died before the employee –
 - i. as set out in the beneficiary's will, provided that the will meets the requirements of Virginia Code sections 64.2-400 - 64.2-458, as applicable.
 - ii. in accordance with Virginia Code sections 64.2-200 – 64.2-206, if the employee died without a valid will.

RETIREMENT BENEFITS

3. Any person receiving a sick leave payout may not use service earned prior to receiving the sick leave payout to re-qualify for a sick leave payout if they are re-hired as an active employee.

[Former Policy 7-50]

Adopted: 6/13/72

Revised: 4/12/88, 5/12/92, 10/26/93, 12/12/95, 11/12/96, 10/24/00, 6/12/01, 6/24/03, 9/25/07, 12/8/09, 3/24/15, 5/26/15; 6/28/16

Current Revision: 4/23/2024